

Instructor: Date:

Learner: Regional Branch:

Program: Center:

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Let's Start!

Indemnified?



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Participate in the improvement of IT contracts, establishing technical clauses that respond to the needs of the negotiating agents, based on current laws on contracting.

Ask your partner:

- When signing a license agreement, how do you make sure you're protected against damage and loss?
- What are the kind of compensations you can obtain in case, any of the acts in a software license agreement are not met?

Can Do Statements:

- I can talk about the reasons to include general indemnities in software license agreements.
- I can discuss the purpose and obligations of indemnities in a software license agreement.
- I can relate ideas about the scope and application of the indemnity.



Let's Explore!

A licensed software customer is discussing the indemnities included in the software license agreement he's about to sign.



Instructions: Read the text below.

Vendor: So, Mr. Shaw, before you sign this software license agreement, I'd like to talk to you about the indemnities. As you probably know, indemnities are designed to impose obligations on the parties in case there is a claim by a third party. You, as the customer, are supposed to understand the burdens and benefits of general indemnities provisions.

Customer: I understand that, but how is that supposed to work out with a software agreement?

Vendor: Well, for starters, the main purpose of a general indemnity main is to contractually allocate the risk of claims by, as I said, third parties against the contracting parties. This allocation can be based on fault (the risk is allocated to the contracting party whose acts or omissions regarding the software caused the third party claim), or on efficiency (the risk is allocated to the contracting party who is best to manage the third party claim).

Customer: What about obligations?

Vendor: Well, there are two main obligations from the indemnifying party you should always count on: an obligation to stand up for the beneficiary when third party claims occur, and an obligation to reimburse and protect the beneficiary from obligations and liabilities resulting from those claims.

Customer: What about its extent?

Vendor: The scope of a general indemnity is adjusted according to who the beneficiaries are supposed to be: the contracting party's personnel or other related persons; to certain kinds of claims, like damage to property or bodily injury; to the time the agreement lasts or after it is ended; and according to a limit on the financial limitations from the indemnifying party, which include the number of legal fees paid to defend claims or to satisfy resulting liabilities.



**Let's Practice!****Including General Indemnities**

Instructions: Read the paragraph. Underline all the mistakes in the paragraph.

The risk of claims can be allocated by third parties against the contracting parties. This allocation can is based on fault, which means the risk is assign to the contracting party that acts regarding the software which are modify by the third party claim. It can also be base in efficiency, in which case the risk are allocated to the contracting party, which is the best option to manage the third party claim.

**Let's Practice!****Main Obligations From the Indemnifying Party**

Instructions: : Write the words to correctly complete the sentences. Use words from the box below.

Word Bank

watch over / count on / to stand up

Customer: What about obligations?

Vendor: Well, there are two main obligations from the indemnifying party you should always _____: an obligation _____ for the beneficiary when third party claims come about, and an obligation to make up for and _____ the beneficiary from obligations and liabilities resulting from those claims.



Extension Activity

General Indemnities in Software License Agreements

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Look for information about General Indemnities in Software License Agreements
- Describe IP Infringement Indemnity and Remedies included in a licensed software
- Write a text of 300 words in which you explain its relevance and the type of remedies a customer can get
- Share your text with your instructor.

Self-Assessment

- | | Yes | No |
|--|-----------------------|-----------------------|
| 1. I look for information about general indemnities in the software license agreement. | ☐ | ☐ |
| 2. I describe the indemnities and remedies customers can get. | ☐ | ☐ |
| 3. I write an IP infringement indemnity model. | ☐ | ☐ |
| 4. I share the document with my classmates. | ☐ | ☐ |



Target Words

- **burden** (noun): any action that results in a restrictive load on something.
e.g. You, as the customer, are supposed to understand the burdens and benefits of general indemnities provisions.
- **fault** (noun): deficiency that can cause the failure of a component or system.
e.g. This allocation can be based on fault, which means the risk is allocated to the contracting party whose acts or omissions regarding the software caused the third party claim.
- **indemnity** (noun): legal compensation for injury, loss or damage.
e.g. The main purpose of a general indemnity is to contractually allocate the risk of claims by, as I said, third parties against the contracting parties.
- **liability** (noun): claim against the legal obligations of an organization or person.
e.g. An obligation to reimburse and protect the beneficiary from obligations and liabilities resulting from those claims.
- **party** (noun): entity that takes part in a legal agreement.
e.g. Efficiency, in which case the risk is allocated to the contracting party who is best to manage the third party claim.
- **reimburse** (verb): to pay back; to refund.
e.g. An obligation to reimburse and protect the beneficiary from obligations and liabilities resulting from those claims.



Learning Points

Be Supposed To and Simple Present Passive Voice to Talk About Technology Negotiation

When people discuss the terms included in an IT procurement or contract, the grammar forms **be supposed to** and **the passive voice of the simple present** are commonly used.

Be supposed to in its present form is used to say that something is expected to happen or that someone is obliged to do it:

Subject + **be (am/is/are) + supposed to** + verb base form + complement

Example:

- *Contracts **are supposed to include** indemnities to protect customers.*

The **simple present in the passive voice** is used to talk about situations that are expected to occur on a regular basis and whose doer is unknown or is not important.

Review the following structure:

Object + to be verb + main verb (past participle) + complement

Example:

- *The risk **is allocated** to the beneficiary party.*

Examples

- *As you probably know, indemnities are supposed to impose obligations on the parties in case there is a claim by a third party.*
- *You, as the customer, are supposed to understand the burdens and benefits of general indemnities provisions.*
- *The risk is allocated to the contracting party whose acts or omissions regarding the software caused the third party claim.*
- *The scope of a general indemnity is adjusted according to who the beneficiaries are supposed to be.*

Inseparable Phrasal Verbs

Phrasal verbs are two-word verbs made out of a verb and a preposition. Their meaning is not easy to identify at first glance.

Some **phrasal verbs** cannot be separated, and they always go together no matter what the object is. Here is a list of the most common **inseparable phrasal verbs**:





Learning Points

Phrasal verb	Meaning
Catch up	To become equal or reach the same level
Come across	To find
Count on	To depend on
Drop by	Visit unexpectedly
Drop out	Stop attending a class
Get over	Recover
Get through	Survive
Get up	Stand up
Go over	Review
Keep up with	Stay at the same level
Look into	Investigate
Put up with	Tolerate
Run into	Find or meet

Examples

- *So, Mr. Shaw, before you sign this software license agreement, I'd like to go over the indemnities.*
- *But how is that supposed to work out with a software agreement?*
- *Well, there are two main obligations from the indemnifying party you should always count on.*